

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

MEKLIT BEKELE, *Claimant*

v.

LC LOGISTICS SERVICES, INC. AND U.S. UNITED LOGISTICS
(NINGBO), INC., *Respondents*.

Docket No. 2057(I)

Served: September 15, 2026

ORDER OF: Debra L. TESH, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

This proceeding comes before the Federal Maritime Commission (“FMC” or “Commission”) upon the filing of an informal small claims complaint (“Claim”) by Meklit Bekele (“Claimant”) against Respondents LC Logistics Services, Inc. (“LC”) and U.S. United Logistics (Ningbo), Inc. (“UUL”). Claimant alleges that Respondents violated 46 U.S.C. § 41102(c) and Article 7 of the Uniform Commercial Code (“UCC”) in connection with the alleged “misdelivery” and unauthorized release of a custom food trailer shipped from China to the United States. *See* Claim.

It is undisputed that Claimant purchased a custom food trailer from Qingdao Oriental Shimao Import and Export Co., Ltd. (“Seller”) for her business, Blue Nile Café LLC. Seller engaged foreign freight forwarder, AMASS Global Network Group (“AMASS”), to co-load the cargo with UUL, which operated as a United States-based non-vessel-operating common carrier (“NVOCC”) for the shipment. Upon arrival at the destination port in the United States, the container was selected for customs inspection and brought to a CES warehouse for examination. Following protracted payment disputes regarding accruing storage, exam fees, and ocean carrier detention charges, Seller declared the cargo abandoned, executed a resale to a third party purchaser, and issued a Letter of Guarantee instructing UUL and its destination, LC, to deliver the trailer to the new buyer.

According to Claimant, she held rightful title and an original bill of lading. Claimant alleges that Respondents violated Article 7-210 of the UCC by failing to provide proper notice of

¹ Pursuant to 46 C.F.R. § 502.304(g), this initial decision will become final unless the Commission elects to review it within thirty (30) days of service.

a carrier's lien, violated 46 U.S.C. § 41102(c) and committed common law conversion by diverting the shipment without authorization to a third party during ongoing payment discussions. Claimant seeks \$50,000 in reparations for the value of the cargo, freight and customs fees, and consequential damages for loss of business. *See* Claim; C. LC Reply; RFI Reply.

Respondent LC argues that Claimant's allegations raise common law, contract, and UCC claims over which the Commission lacks jurisdiction. LC denies that Claimant possessed an original bill of lading proving she held rightful title to the trailer. LC further asserts that Claimant failed to establish all elements of a section 41102(c) violation. Specifically, LC maintains that it acted strictly as an inland destination agent in connection with the transaction and is not a regulated entity under the Shipping Act; and that release and delivery of the trailer represents an isolated event and does not constitute conduct that occurred on a normal, customary, and continuous basis. *See* LC Response.

Respondent UUL contends that Claimant did not have an original bill of lading because the trailer was shipped pursuant to a telex release, which did not grant Claimant title to the goods or exclusive control over delivery. UUL maintains that, until cargo is released and physically delivered, Seller retains ownership of the goods and the authority to issue delivery instructions to the NVOCC. Applying this to the present case, UUL asserts that Claimant failed to respond to communications requesting that she pay outstanding fees so Seller resold the trailer and instructed UUL to deliver the cargo to the new buyer. UUL asserts that it acted pursuant to these valid delivery instructions and a written Letter of Guarantee from Seller indemnifying it from liability for disputes arising from this transaction. Finally, UUL contends that Claimant's alleged losses were proximately caused by the commercial dispute between Claimant and Seller, rather than by UUL's performance of its contractual shipping obligations as an NVOCC. *See* UUL Answer; UUL Amended Answer.

As set forth in greater detail below, Claimant has not established a violation of the Shipping Act by a preponderance of the evidence. Respondent LC is not a regulated entity with respect to the shipment at issue and the claim against this entity is denied. Furthermore, the evidentiary record supports a finding that Respondent UUL delivered the trailer to a third party address, but Claimant failed to demonstrate that Respondent's conduct occurred on a normal, customary, and continuous basis as required by 46 C.F.R. § 545.4(b). Accordingly, Claimant has not proven UUL violated 46 U.S.C. § 41102(c) and the Claim against UUL is also denied.

B. Procedural History

On April 13, 2026, the Office of the Secretary ("OS") of the FMC received the Claim. On April 14, 2026, OS served a Notice of Filing of Small Claims Complaint and Assignment ("Notice"), together with a copy of the Claim on the parties and directed Respondents to file formal responses by May 11, 2026. *See* Notice.

On May 8, 2026, Respondent LC timely filed its response to the Claim ("LC Answer") pursuant to 46 C.F.R. § 502.304(e) and consented to the informal small claims procedures at Subpart S. *See* LC Answer. On the same date, Claimant filed a reply ("C. LC Reply") to the LC Answer along with five exhibits. *See* C. LC Reply.

Because the Claim was initially served on UUL at an incorrect address, the Claim was re-served on May 8, 2026. On June 1, 2026, UUL confirmed that service had been completed on May 18, 2026, and requested an extension of time to file a response as the deadline had already expired before service was completed. *See* UUL Email. By email on June 3, 2026, the extension was granted and UUL's response deadline was extended to June 29, 2026. *See* Judges Email. On June 24, 2026, Respondent UUL filed its response ("UUL Answer") and consented to the informal small claims procedures at Subpart S. *See* UUL Answer.

On July 29, 2026, this proceeding was assigned to the undersigned small claims officer ("SCO") for adjudication. *See* Notice of Assignment.

On July 31, 2026, the SCO issued an Order Requesting Additional Information and Documentation ("RFI"). Party responses to the RFI were due August 12, 2026, and parties were permitted to file replies to the other parties' submissions by August 19, 2026. *See* RFI.

On August 12, 2026, UUL filed its response to the RFI ("UUL Resp. RFI"), along with twelve exhibits. Claimant also filed a response ("C. Resp. RFI") along with exhibits A-1 through I-2 on the same day.² *See* C. Resp. RFI.

On August 13, 2026, LC filed its response to the RFI ("LC Resp. RFI"), along with 49 exhibits. *See* LC Resp. RFI. Claimant filed a reply ("RFI Reply") noting that LC filed its response one day after the deadline set forth in the RFI. *See* RFI Reply.

On August 19, 2026, the SCO issued a Second Order Requesting Additional Information and Documentation ("Sec. RFI"), requiring party responses to be filed by September 2, 2026, and any replies to other parties' submissions by September 9, 2026.

Also on August 19, 2026, UUL copied the Commission on an email addressed to Claimant with an attached document identified as "Respondent UUL Official Defense Letter." The content of the document appears to constitute an amended response to the Claim ("UUL Amended Answer") and will be treated as such. *See* UUL Amended Answer.

On September 1, 2026, UUL filed a response to the Sec. RFI ("UUL Resp. Sec. RFI") along with three exhibits. *See* UUL Resp. Sec. RFI.

On September 2, 2026, LC filed a response to the Sec. RFI ("LC Resp. Sec. RFI") along with five exhibits. *See* LC Resp. Sec. RFI.

II. FINDINGS OF FACT ("FF")

1. Claimant is an individual and owner of Blue Nile Café LLC. Claim, at ¶¶ I, III; C. Resp. RFI, at Ex. I-2.

² Claimant's Exhibit B-1, identified as the original house bill of lading, was missing from C. Resp. RFI. Claimant was notified of the possible omission and given an opportunity to submit the exhibit if it differed from the copy of the telex-released house bill of lading already in the record at UUL Resp. RFI, Ex. 5. Claimant did not respond to the notification or submit any additional documents.

2. LC is a licensed NVOCC and freight forwarder operating under FMC Organization Number 029670. *See* <https://www2.fmc.gov/oti/> (last viewed September 10, 2026); *see also* 46 C.F.R. § 502.226.
3. UUL is a licensed NVOCC operating under FMC Organization Number 021260. *See* <https://www2.fmc.gov/oti/> (last viewed September 10, 2026); *Id.*
4. UUL and LC entered into an Agency Agreement appointing each other as handling or destination agent for shipments arriving in their respective countries. UUL Resp. RFI, at Ex. 4.
5. Claimant purchased a custom food trailer from Seller who shipped the trailer from Qingdao, China, to Maryland, United States, using AMASS Global Network Group, a Chinese freight forwarder, and UUL for the transportation services. *See* UUL Resp. RFI; UUL Amended Answer.
6. UUL issued a house bill of lading for the trailer. The document identifies LC as the destination agent, and Blue Nile Café LLC as consignee. The bill of lading bears a “telex release” stamp. UUL Resp. RFI, at Ex. 5; LC Resp. RFI, at Ex. 3.
7. Seller surrendered the original bills of lading and issued a Letter of Guarantee for telex release. The Letter of Guarantee identifies Blue Nile Café LLC and Meklit Bekele as consignee and states, “[w]e hereby agree to release cargo for above mentioned shipment to the consignee (CNEE) at the destination port against presentation of the house bill of lading (HBL) copy and we take full responsibility/liability and surcharges on this arrangement.” UUL Resp. Sec. RFI, at Ex. 1.
8. The ocean carrier company, ZIM Integrated Shipping Services Ltd. (“ZIM”), issued a non-negotiable sea waybill identifying UUL as shipper and LC as consignee and notify party. UUL Resp. RFI, at Ex. 8; LC Resp. RFI, at Ex. 4.
9. The container was flagged for Customs Border Protection (“CBP”) inspection at the destination port and taken to East Coast, a centralized examination warehouse (“CES”), on October 29, 2025. CBP completed its examination and released the trailer on October 30, 2025. C. LC Reply, at Ex. 5; C. Resp. RFI, at Ex. D-1, E-1; UUL Resp. RFI, at Ex. 5. The CES warehouse contacted LC, the “notify party” and consignee identified on the ZIM sea waybill, regarding pickup of the container. C. LC Reply, at Ex. 5; C. Resp. RFI, at Ex. D-1
10. On October 30, 2025, LC emailed Claimant the pickup instructions and attached a copy of the CES invoice for examination fees totaling \$1,011.73. Three free days were allowed from the October 30, 2025 examination completion date so the invoice did not reflect any storage fees. LC Resp. RFI, at Exs. 13, 20.

11. On November 2, 2025, LC sent a reminder email to Claimant noting that the container had not been picked up and that she would be responsible for late container return charges. *Id.* at Ex. 22.
12. On November 5, 2025, LC sent a second reminder email to Claimant asking for an update on the container pick up. *Id.* at Ex. 23.
13. On November 20, 2025, LC sent a third reminder email to Claimant asking for an update. *Id.* at Ex. 24.
14. On November 25, 2025, Claimant wired \$1,011.73 to LC to pay the October 30, 2025 CES warehouse invoice. *Id.* at Exs. 25-26. LC responded that it would confirm the remaining outstanding balance with the CES warehouse. *Id.* at 30.
15. On November 26, 2025, LC emailed Claimant asking to confirm whether she agreed to the trucking quote it provided for transporting the container from the CES warehouse to her address. Attached was an updated CES invoice reflecting the initial fees plus storage charges incurred after the last free day on November 4, 2025. *Id.* at Exs. 29, 30. As of November 26, 2025, the amount due on the invoice was \$3,079.73. C. Resp. RFI, at Ex. D-1.
16. Between November 27 and December 2, 2025, LC and Claimant exchanged emails regarding whether Claimant would arrange her own transportation of the container from the CES warehouse to her address and pay the CES invoice balance directly to the warehouse, or have LC make those arrangements on her behalf. LC Resp. RFI, at Exs. 31-32, 35. On December 2, 2025, LC confirmed that it had scheduled a truck to pick up the container the following day and attached invoice SFOIN-09523 for payment. *Id.* at Ex. 33. Invoice SFOIN-09523 included the outstanding CES fees and a \$6,000 deposit for the estimated ZIM detention charges resulting from the container's late return. *Id.* at Ex. 15; LC Resp. Sec. RFI, at Ex. 50; C. Resp. RFI, at Ex. A-2. The detention charges were estimated pursuant to ZIM's tariff schedule. LC Resp. Sec. RFI, at Ex. 51, 52.
17. On December 2, 2025, Claimant informed LC that she was unable to pay invoice SFOIN-09523 any time soon and requested a refund the \$1,011.73 paid toward the initial CES warehouse invoice. Claimant stated she would pay invoice SFOIN-09523 when she had the funds. LC Resp. RFI, at Exs. 36-37. In the interim, storage and detention charges continued to accrue.
18. In a separate email to LC, Claimant referenced an installment agreement with Seller under which she agreed to make a \$2,789 payment that day and work with Seller on the remaining balance at a later date. Claimant asked whether LC would include its trucking costs in the installment agreement. LC declined and asked Claimant to confirm its understanding that she would not be using LC's services to arrange for pick up of the container on December 3, 2025. LC clarified that Claimant remained responsible for paying ZIM's detention charges, that LC only required payment of the outstanding balance of the CES warehouse invoice to proceed with pick up, and advised Claimant

that she could arrange installment payments for detention charges directly with UUL. *Id.* at Ex. 40.

19. Between December 4 and 8, 2025, UUL and LC communicated regarding Seller's request for quotes to either return the container to China or store it at an alternative warehouse. *Id.* at Ex. 55.
20. On December 4, 2025, Seller emailed Claimant requesting an installment payment of \$2,789 that day, with payment of the remainder of fees to be discussed later. Seller advised that if Claimant did not make a payment, coordination of transportation services would cease. *Id.* at Ex. 41, 45. Claimant did not make the payment. *See* UUL Resp. RFI.
21. As storage and detention charges continued to accrue without Claimant payment, UUL directed LC to retrieve the container and pay the CES storage fees and ZIM detention charges. On December 11, 2025, LC paid the final CES invoice in the amount of \$4,395.73. LC Resp. RFI, at Exs. 16, 18; C. Resp. RFI, at Exs. 16-19, 55.
22. On December 8, 2025, Seller issued an Abandonment Declaration to Claimant notifying her that the container would be returned to the port of destination and customs would destroy the trailer. Seller warranted that it fulfilled all notification obligations during the process and that all costs for demurrage, storage and disposal would be borne by Claimant. C. Resp. RFI, at Ex. I-1; UUL Resp. RFI, at Ex. 3; LC Resp. RFI, at Ex. 45.
23. On December 11, 2025, Seller and AMASS jointly issued a Letter of Guarantee for Container Pickup and Delivery ("Letter of Guarantee") stating Claimant had abandoned the goods and that Seller had resold them to Auto Buying Service located at 2971 Prosperity Ave., Fairfax VA 22031. Although the Letter of Guarantee does not identify the party to whom the guarantee was issued, the context indicates that it was issued to UUL. Under its terms, Seller agreed to make a one-time payment of \$10,700 to discharge all payment obligations related to this matter. In exchange, UUL would deliver the goods to the third party address and promptly return the container to the destination port. Seller further warranted that UUL and its destination agent would bear no liability arising from the transaction. UUL Resp. Sec. RFI, at Ex. 2; LC Sec. Resp. RFI, at Ex. 55.
24. Upon receipt of the Letter of Guarantee, UUL instructed LC to deliver the container to the third party purchaser of the trailer at 2971 Prosperity Ave., Fairfax VA 22031. LC Resp. RFI, at Exa. 47-48; LC Resp. Sec. RFI, at Ex. 55.
25. On December 11, 2025, in accordance with LC's instructions, Hale Trucking (a.k.a. Eternity Solutions LLC) retrieved the container from the CES warehouse and delivered it to 2971 Prosperity Ave., Fairfax VA 22031. LC Resp. RFI, at Ex. 46-48. That same date, a second trucking company also arrived at the CES location to pick up the container. C. Resp. RFI, at Ex. E-1. The record does not clarify who arranged the second truck.
26. On December 16, 2025, Claimant called the CES warehouse and was informed that the container had already been picked up. *Id.* at Ex. E-3

27. On December 18, 2025, Hale Trucking returned the empty container to the destination port. LC Resp. RFI, at Exs. 47-49; C. Resp. RFI, at Ex. 12; LC Resp. RFI, at Ex. 17.
28. On January 12, 2026, LC paid the ZIM detention invoice in the amount of \$9,070. UUL Resp. RFI, at Ex. 12, 19; LC Resp. RFI, at Ex. 20.

III. ANALYSIS

A. Burden of Proof

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. A person alleging a Shipping Act violation, therefore, bears the burden of proof to demonstrate its allegations by a preponderance of the evidence. 46 C.F.R. § 502.203; 5 U.S.C. § 556(d); *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). The term, “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, Docket No. 94-24, 27 S.R.R. 1137, 1161 (FMC Aug. 12, 1997). *Steadman v. SEC*, 450 U.S. 91, 101 (1981) (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 1993 WL 13975538, at *13 (ALJ Dec. 9, 1993), adopted in relevant part, 1994 WL 279898 (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Greenwich Collieries*, 512 U.S. at 281.

B. Preliminary Issues

1. Claimant’s Request for a Subpoena Duces Tecum

In Claimant’s LC Reply, Claimant moved for issuance of a subpoena duces tecum to the Fairfax County Police Department seeking an abandonment letter and correspondence between LC and the third party purchaser of the trailer, which Claimant contends would “prove bad faith and timeline coordination.” *See* C. LC Reply.

The informal small claims procedures at Subpart S do not provide for the filing of motions or the issuance of subpoenas. *See* 46 C.F.R. §§ 502.301-502.305. Accordingly, Claimant’s request for issuance of a subpoena duces tecum is denied.

2. Alleged Violation of the Uniform Commercial Code (UCC) and Common Law Conversion

Claimant also alleges that Respondents violated notice requirements under Article 7 of the Uniform Commercial Code (“UCC”) and committed common law conversion by releasing her property to a third party. *See* Claim, C. LC Reply. These allegations raise claims arising under state commercial law and common law rather than the Shipping Act.

While the FMC maintains jurisdiction over claims arising out of violations of the Shipping Act, claims rooted in common law lie exclusively with the courts. *Bimsha Int’l v. Chief Cargo Serv., Inc. and Kaiser Apparel, Inc.*, Docket No. 10-08, 2013 WL 9808692, at *1 (FMC Sept. 4, 2013); *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Docket No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (noting that claims alleging breach of contract violations are not properly before the Commission).

The Commission’s jurisdiction is limited to claims arising under the Shipping Act and does not extend to independent causes of action under the UCC or common law. Accordingly, to the extent Claimant seeks relief based on allegations of UCC notice requirements and common law conversion, those claims are dismissed for lack of jurisdiction.

C. Alleged Violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4

Claimant alleges that Respondents violated 46 U.S.C. § 41102(c) by deeming her property abandoned while payment negotiations were ongoing and releasing the container to a third party despite her assertion that she possessed an original bill of lading establishing her ownership of the goods. Although Claimant’s primary focus is on LC as the entity that performed the actual release and delivery of the goods to the third party, she asserts that both Respondents are jointly liable. *See* Claim; C. Resp. RFI.

Section 41102(c) of the Shipping Act, formerly 10(d)(1), prohibits “common carriers, marine terminal operators, and ocean transportation intermediaries from failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering of property.” 46 U.S.C. § 41102(c). The Commission promulgated 46 C.F.R. § 545.4 to clarify the elements required to establish a violation of section 41102(c). *See Interpretive Rule, Shipping Act of 1984 (Final Rule)*, 83 FED. REG. 64478, 64479-80 (Dec. 17, 2018).

- a. Respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- b. The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- c. The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- d. The practice or regulation is unjust or unreasonable; and

e. The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

To establish a section 41102(c) claim, the record must first demonstrate that Respondents acted as regulated entities—namely, common carriers, marine terminal operators, or ocean transportation intermediaries. 46 C.F.R. § 545.4(a). An “ocean transportation intermediary” (“OTI”) is defined as either an ocean freight forwarder or a non-vessel-operating common carrier. 46 U.S.C. § 40102(20).

Claimant does not dispute that LC acted as a “handling agent” and “control[led] ground release and warehouse clearance” on UUL’s behalf. Claimant cites the contractual agreement between UUL and LC to assert that both parties are liable for LC’s actions. *See* C. Resp. RFI, at Q1.

In determining whether an entity is an OTI, the Commission examines the entity’s conduct with respect to the particular shipment at issue. *Worldwide Relocations, Inc. – Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984*, Docket No. 06-01, 2012 WL 11914713, at *5 (FMC Mar. 15, 2012). Although LC is registered as an NVOCC with the Commission, its status as a registered NVOCC does not establish that it acted as an OTI with respect to the shipment at issue. The evidence demonstrates that LC and UUL entered into an agreement under which LC served as UUL’s appointed inland destination agent in the United States for shipments originating from China. FF 4. The house bill of lading and the sea waybill both identify LC only as destination agent. FFs 6, 8. Moreover, the functions LC performed in connection with this shipment, including handling destination charges, CES warehouse release, and ground transportation for final delivery, were consistent with its role as a destination agent. FFs 10-18, 25, 28. Claimant contends that LC’s actions as an agent bind UUL; however, whether UUL may be responsible for conduct undertaken by LC on its behalf is separate from whether LC itself acted as a regulated entity within the meaning of 46 C.F.R. § 545.4(a).

The record establishes that LC acted strictly as an inland destination agent and did not perform any actions as an ocean common carrier, marine terminal operator, or ocean transportation intermediary with respect to the shipment at issue. Accordingly, Claimant has not established the first required element of a section 41102(c) claim against LC. Because failure to establish any one of the required elements precludes a finding of a section 41102(c) violation, Claimant’s section 41102(c) claim against LC is denied and the remaining elements need not be addressed.

With respect to Claimant’s section 41102(c) claim against UUL, there is no dispute that UUL acted as an NVOCC in connection with the shipment at issue. *See* FF 3; UUL Answer; UUL Amended Answer, at ¶ 2. As an NVOCC, UUL is an OTI and a regulated entity subject to a section 41102(c) claim. *See* 46 U.S.C. § 40102(20); 46 C.F.R. § 545.4(a).

Claimant cites the agency agreement between LC and UUL to assert that the parties are “jointly liable” for LC’s actions. *See* C. Resp. RFI, at Q1. As discussed above, to the extent Claimant asserts an independent theory of joint liability under common law, such a claim falls

outside the Commission's jurisdiction. The record establishes, however, that LC acted as UUL's inland destination agent in connection with this shipment. FFs 4, 6, 8. Under general principles of agency law, actions performed by LC within the scope of its destination agency relationship with UUL are legally attributable to UUL for the purpose of evaluating whether UUL violated 46 U.S.C. § 41102(c). *Adair v. Penn-Nordic Lines, Inc.* Docket No. 1695(F), 1991 WL 383091 *16 (ALJ Sept. 19, 1991), admin final Oct. 24, 1991 (citing 3 Am. Jur. 2d, Agency, secs. 78-79).

Claimant asserts that UUL acted in a normal, customary, and continuous manner because it routinely handles ocean freight releases and issues/accepts letters of indemnity ("LOIs") to change cargo consignees and divert shipments from rightful owners. Specifically, Claimant contends that "[e]xecuting unauthorized LOIs to override named consignee rights is an ongoing commercial practice utilized to bypass delivery disputes." See C. Resp. RFI, at Q1. Claimant's argument is premised on her assertion that she possessed an original bill of lading and, therefore, held title to the trailer and exclusive right to release.

UUL disputes Claimant's assertion that she held ownership rights to the cargo. According to UUL, the shipment moved pursuant to a telex release, which did not grant Claimant permanent title or exclusive control over delivery. In contrast, UUL maintains that Seller retained ownership of the trailer until final delivery and had the legal authority to direct its delivery and release to a third party purchaser. UUL contends that it acted pursuant to valid instructions from Seller and a written Letter of Guarantee. See UUL Amended Answer.

Contrary to Claimant's assertion, the record does not establish that she possessed an original house bill of lading. Rather, the original bills of lading were surrendered at origin, and the shipment was telex authorized for release to Claimant at destination upon presentation of a copy of the house bill of lading. FFs 6-7. After storage and detention fees accrued due to Claimant's non-payment, Seller subsequently sold the trailer to a third party and instructed UUL to arrange delivery to the new purchaser's address. FFs 21-23. UUL accepted Seller's instructions and Letter of Guarantee indemnifying it for this transaction and instructed LC to pay the CES invoice to release the container and have it delivered to the third party address. FF 24.

These facts pertain only to the release and delivery of the cargo but do not resolve the parties' competing assertions regarding ownership of the trailer or their respective rights to control its delivery. It is unnecessary, however, to resolve the issue of title and release authority in order to decide Claimant's section 41102(c) claim. Even assuming, without deciding, that Claimant possessed the ownership and delivery rights she asserts and that UUL's delivery of the trailer to a third party was unjust and unreasonable, Claimant must still establish that the challenged acts or omissions occurred on a normal, customary, and continuous basis. 46 C.F.R. § 545.4(b).

In its rulemaking for 46 C.F.R. § 545.4, the Commission clarified that section 41102(c) is not intended to cover an isolated incident, but rather a pattern of behavior on a "normal, customary, and continuous basis." 46 C.F.R. § 545.4(b). The types of business practices appropriately adjudicated under section 41102(c) involve practices that "negatively affect the broader shipping public." *MAVL Capital, Inc. v. Marine Transport Logistic, Inc.*, Docket No. 15-04, 2021 WL 4554718, at *18 (FMC Sept. 29, 2021) initial decision on remand (citing *Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 FED. REG. 45367, 45368

(Sept. 8, 2018)). The Commission articulated that it was rejecting a line of cases that held “discrete conduct with respect to a particular shipment, if determined to be unjust and unreasonable, represents a violation of section 41102(c), regardless of whether that conduct represents a respondent’s *practice or regulation*.” *Id.* (emphasis in original). The Commission explained, “[t]hese decisions diverge from consistent Commission precedent dating back to 1935 and reaffirmed as recently as 2001 which required that a regulated entity must engage in practice or regulation on a *normal, customary, and continuous* basis in order to be found to have violated § 41102(c) of the Shipping Act.” *Id.* (emphasis in original).

The Commission reiterated this intent in the final rule stating the rule “was never intended to be a method of resolving every dispute that arises in the receiving, handling storing or delivering of cargo.” *Interpretive Rule, Shipping Act of 1984 (Final Rule)*, 83 FED. REG. 64478, 64479 (Dec. 17, 2018). Instead, the Commission articulated that a violation of section 41102(c) historically requires a showing that, “... the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business.” *Id.* (citations omitted). “Commission precedent has made it clear that a single shipment or isolated act or omission does not show a pattern or practice.” *See Crocus Investments, LLC v. Marine Transportation Logistics, Inc.*, Docket. No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021) (citing *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int’l Inc.*, Docket No. 17-02, 2020 WL 5406762 (FMC Sept 1, 2020)).

The Commission recognized that this interpretation would limit the types of claims that may be brought before the Commission, but determined this interpretation aligns more closely with the purposes of the Shipping Act. The Commission noted that traditional legal venues to adjudicate contract law, agency law or admiralty law would continue to be available to parties injured by a discrete instance of unreasonable and unjust conduct. *See Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 FED. REG. 45367 (Sept. 8, 2018).

In the present proceeding, Claimant identifies the challenged practice as UUL’s alleged routine acceptance of instructions and LOIs to redirect cargo from a named consignee to another party to bypass disputes. The fact that telex releases and LOIs are used routinely in the maritime industry does not, without more, demonstrate that UUL routinely accepts such documents with the express purpose of diverting cargo from the named consignee to another party in the context of payment disputes. Claimant has not identified any other shipments in which UUL accepted instructions and an LOI to redirect cargo in a similar situation and she has not provided evidence of a UUL policy or procedure establishing that it routinely engages in similar conduct as an ongoing business policy. Claimant’s assertion that UUL’s conduct constitutes an “ongoing commercial practice” is unsupported by the record.

The record demonstrates a discrete isolated dispute arising from UUL’s handling of a single shipment under the particular circumstances presented but does not establish that the challenged conduct occurred on a normal, customary, and continuous basis. Claimant has not established the requirement in 46 C.F.R. § 545.4(b). Because failure to establish any one of the required elements precludes a finding of a section 41102(c) violation, the remaining elements need not be addressed.

IV. ORDER

Based upon the evidentiary record, the pleadings of the parties, and the foregoing findings of fact and conclusions of law set forth above, it is hereby

ORDERED that Claimant's request for a subpoena duces tecum is **DENIED**. It is

FURTHER ORDERED that Claimant's claims arising under the UCC and common law conversion are **DISMISSED** for lack of jurisdiction. It is

FURTHER ORDERED that Claimant has not established that Respondent LC acted as a regulated entity with respect to the shipment at issue and Claimant's claim against LC under 46 U.S.C. § 41102(c) is **DENIED**. It is

FURTHER ORDERED that Claimant has not established that the challenged conduct of Respondent UUL occurred on a normal, customary, and continuous basis and Claimant's claim against UUL under 46 U.S.C. § 41102(c) is **DENIED**.

SO ORDERED
DEBRA L.
TESH -S

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DEBRA L. TESH -S
Date: 2026.09.15
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Debra L. Tesh
Small Claims Officer